Mark schemes

1.

Introduction	• Globalisation • UK economy • Stakeholders in the economy, households, firms, government and whole economy.
Developing the response to the question: **Application / Analysis**	**Arguments that the UK benefits from globalisation** • Comparative advantage arguments – job creation in financial services • Endowment of factors of production – access to goods and services difficult to produce domestically • Increased choice • Lower costs of consumer goods/cost of semi-finished goods and commodities • Benefits from transfer of technology • Welfare gains in terms of trade • Economies of scale arguments • Benefits of international co-operation • Increased FDI. **Arguments that the UK loses out due to globalisation** • Outsourcing has led to structural unemployment in regions of the UK • Issues surrounding labour migration • Multinational corporations exploiting tax loopholes • Multinational corporations influence over political decisions • More open to economic shocks elsewhere in the world • Potential for imported inflation • Over-dependence on certain markets/possible strategic markets arguments • Lack of control over markets and goods and services • Environmental issues.
Evaluation	• Benefits and costs depend on viewpoint, eg a firm lowering costs may do so at the expense of an individual's job • Globalisation as a source of competition creating more resilience in UK firms • Short-term benefits in comparison to longer term, for example short-term prices may fall but over-reliance could lead to long term losses • Loss of manufacturing could lead to long-run over-dependence on certain economies

	• Comparative advantage is dynamic – eg although the UK may benefit in terms of specialising in financial services now, this may not be forever. *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*
Also give credit for	• Reference to the UK/other economies • Diagrams • An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

2.

Issues and areas for discussion include:

Introduction	• UK fiscal policy and budgetary positions • general tax principles, eg fairness, ability to pay, incentives • examples of UK taxes and tax rates • the distinction between direct and indirect taxation • different categories of spending, eg capital v current • the nature of UK Government spending cuts.
Developing the response to the question (application and analysis)	• direct taxation and the issue of incentives (income and substitution effects) • corporate taxes v taxation of household income • Laffer Curve analysis (not mentioned in the specification) • indirect taxes and the issue of their regressive nature • equity and equality • supply and demand analysis to show the possible incidence of taxation • the possible effects of increasing tax rates on total tax revenue per tax • public spending and multiplier/reverse-multiplier • government spending cuts and the impact on private sector business • cuts to capital spending and macroeconomic implications • cuts to current spending and transfer spending • use of diagrams • references to the real world.

Evaluation	• the need for a balanced approach to the use of tax and spending policies • relative distributional effects • relative impact on economic recovery • assessment of the use of a particular tax; any increase in its tax rate(s) may be influenced by the degree of change in the rate(s) being imposed • judgments made on the actual effect on living standards by individual taxes or particular aspects of government spending, whatever the ultimate aim is of a budget surplus • the national and international macroeconomic climate in which changes are being made • how tax/government spending changes relate to the supply-side ethos of recent governments • surveys which point to a limited or zero impact on incentives • to work resulting from changes in income tax • welfare-spending cuts and the unemployment trap • tax changes and the poverty trap • the need for coordination of spending and tax policies, eg needing to avoid conflict between welfare benefits and harshly regressive indirect taxes, or assessing if one compensates for the other • the impact of individual taxes on macroeconomic indicators, eg indirect taxes on the rate of inflation • the assessment of both might be affected by the speed with which spending cuts/tax increases are implemented • a final judgment regarding the best policy for the • macroeconomy, individuals, for living standards in general, for the achievement of other macroeconomic objectives. *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

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3.

Introduction	• Economic growth • The standard of living • The recent global experience.
Developing the response to the question (application and analysis)	• How world economic growth is likely to be achieved • The importance of ensuring that growth is sustainable • Recognition that the impact could be positive or negative in net terms **The UK economy:** • Aggregate demand • Changes to the incentive to invest and the possible impact on such things as productive capacity • Aggregate supply • Inflation • The environment • The ability to sell overseas and hence the impact on exports • Imports • The balance of payments on current account • The prospects for inward/outward FDI • World growth causing changes to wealth creation in the UK • Employment/unemployment • The impact of world commodity prices. **The individual in the UK:** • Trend in average income (income per head) • Distribution of income • A possible sharpening of the “haves and have-nots” distinction • Consumption patterns • The wealth effect associated with rising asset prices in a period of growth • Choice of jobs • Quality of life • Quality of life measures such as the HDI and the “happiness index”.

Evaluation	• The extent of world economic growth • World economic growth from what starting point, eg years of stagnation? • The importance of considering where in the world growth is taking place and the bearing this may have on the UK economy • The UK's capability to participate in the growth process and in its rewards • The possibility of the UK economy importing the downside of world growth, eg inflation and a deteriorating environment, without enjoying the benefits, eg more jobs and more spending power • It is easier to measure the economic impact on the individual, ie income per head, than it is to measure changes to the quality of life • What of the individual who has the wrong skills or qualifications to allow occupational mobility or cannot become geographically mobile? • Short term v long term impact for both the individual and the economy • Does the UK economy enjoy higher demand without giving due attention to its supply-side? • Is sufficient attention given to the environment both from the individual's point of view and that of the UK economy? • Whether growth elsewhere is likely to cause net economic benefit or net economic damage to the UK. *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*
Also give credit for:	• Reference to the UK/other economies • Diagrams • An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

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4. **Issues and areas for discussion include:**

Introduction	• the Eurozone and the EU • UK status • economic criteria for measuring impact • the likely nature of Eurozone break-up.
Developing the response to the question (Application)	• the degree of stability that had existed before the global financial crisis especially for the weaker members (lines 3–4) • the significance of the debt crisis (lines 8–13) • the importance of eurozone stability for the UK (lines 35–39) • the inability of the UK to be immune from the eurozone problems even though it lies outside the eurozone (lines 39–41) • GDP • injections/withdrawals from the circular flow • cyclical/structural unemployment.
Analysis	• economic instability in the eurozone or more widely in the EU • the impact on the £ • the impact on the euro • the status and stability of the restored national currencies of those economies leaving the eurozone • UK economic growth • UK employment. • UK balance of payments, current and capital accounts, especially the impact othe world economy UK exports • the impact on the UK banking/financial sector • the scale of any UK commitment to 'bail-outs' • diagrams to help the analysis • reference to the real world.
Evaluation	• the significance of which countries actually leave the eurozone • how many countries decide to leave • the policies those countries decide to pursue following their exit • whether or not the exit of some countries leaves the eurozone as a much stronger economic entity with which the UK establishes even stronger economic ties • the relative value of the £ in relation to the newly restored national currencies • if there is a continuing crisis whether or not the UK can compensate by developing stronger economic ties elsewhere in the world • whether the UK and the remaining members of the eurozone pursue policies intended to support the economies exiting from the eurozone • the exit of countries in the context of the state of the world economy at that point and the EU economy in particular • the potential significance of the EU still remaining as an economic entity with, for example, the SEM still intact • reference to what actually happens when this paper is sat by candidates and what is suggested in the data • a final judgment on the issue of countries leaving the eurozone. *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a*

	genuine effort has been made to display that skill.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

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5.

Issues and areas for discussion include:

Introduction	• unemployment defined • types of unemployment • the meaning of 'targeted programmes' • developed economies.
Developing the response to the question (Application)	• reference to global unemployment of 6% (line 5) • the value of the programmes in light of possible fiscal restraint in the UK, for example (lines 11–12) • the IMF assertion that stimuli to AD is the single best cure (lines 19–20) • reference to wage subsidies to lower the cost to employers of hiring labour (line 22–23) • the importance of skills and mobility (lines 25–26) • the multiplier • the accelerator • aggregate demand.
Analysis	• examples of supply-side targeted programmes • the objectives of such programmes • the possible limitations of such programmes • the alternative demand-side approach to curing unemployment • analysis of such policies • a comparison of both approaches • references to the real world • diagrams
Evaluation	• the importance of identifying the main type of unemployment • the possibility of different types of unemployment existing at one time, eg structural and cyclical, so that a combination of demandside and supply-side policies is needed • the importance of the programmes to productivity improvements and hence competitiveness in world markets as economies recover • the extent of the resources going into such programmes • the duration of such programmes • long term v short term considerations • the need for individual developed economies to get the balance right between demand-side and supply-side approaches to unemployment to suit particular circumstances • a final judgment on the role of the programmes. *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

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8.

Introduction	• Unemployment • Macroeconomic objectives • Trade-offs.
Developing the response to the question: **Application / Analysis**	• The nature of the cause of unemployment • Short-run trade-offs • Different policies which can be used to reduce unemployment • Some objectives are compatible objectives, eg reduced unemployment and growth • Objectives of different policies, i.e. monetary focusing on inflation targets and more recently, growth • Supply-side policy achieving goals simultaneously in theory • Long-run compatibility of objectives • The UK's experiences in recent times (low inflation with growing employment) • External shocks affecting objectives beyond the control of the economy.
Evaluation	• Short-run vs long run considerations • The idea that it may be impossible to avoid conflicts in reality but possible in theory • The acceptability of compromise between objectives – control rather • than complete avoidance • The intensity of any problems arising from conflict • Time lags in the effects of supply-side policy working • Limitations of the effects of policy instruments • Targets of governments may change, and focus may shift between governments depending on ideology • Consideration of the term 'inevitable'. *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*
Also give credit for	• Reference to the UK/other economies • Diagrams • An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

9.

Relevant issues/logical chains of analysis include:

- defining economic shock, eg what maybe an unexpected event or one that at least some had predicted which affects an economy either positively or negatively (it is anticipated that the majority of candidates will see shock in negative terms because of the reference to 'harm' and this should not be penalised. Please make sure that credit is not given where the preamble to the question is simply copied out, ie an economic shock is something which can have significant consequences)
- distinguishing a demand-side shock from a supply-side shock, perhaps with examples, such as the euro crisis, the 'credit crunch'; oil price increase or a natural disaster.
- defining economic growth, eg an increase in real GDP or an increase in productive capacity.
- distinguishing between actual and potential growth
- Supply: A significant increase in global oil prices will impact on an economy having to import most or all of its oil from the international market, causing the SRAS curve to shift to the left. Higher oil prices will lead to higher unit costs and hence higher prices and hence cost-push inflation. The impact of inflation on real incomes will affect AD (1mark). Demands from labour for higher wages will worsen the inflation problem. Inflation will cause an increase in unemployment and eventually cause economic growth to falter so that stagflation becomes a real possibility.
- Supply: A significant increase in prices of primary commodities generally and/or food prices.
- Supply: A major war/significant natural disaster/a series of devastating terrorist attacks around the world in major economies.
- Demand: The severity of the Eurozone crisis
- Demand: An unanticipated and sudden downturn in emerging economies such as India and China.
- Demand: credit crunch/crisis in major financial markets
- any other economic shock explained which potentially harms growth
- diagrams to help support explanations, eg AD/AS showing shifts of AD and/or AS, micro supply and demand diagrams, PPF

[15]

10.

Introduction	• The budget and budget deficit • The recent UK experience • Short term long-term • The notion of improvement in economic prospects.
Developing the response to the question (application and analysis)	• Short-term gain versus long-term gain • International credit-agency ratings for the UK and their possible significance • Interest rates and quantitative easing − short term benefit, long-term inflation? • The importance of stabilising the economy • Recession in the short term but the possible long-term weakening of the economy • The contrast with the 'Keynesian solution' • Economic growth • Inflation/deflation • Cost-push inflation at a time of 'austerity' creating problems in the long-term • Competitiveness and the balance of payments on current account • Long-term prospects for employment/unemployment • Cyclical and structural unemployment.
Evaluation	• The severity of reductions in the deficit • The period of time over which so-called fiscal austerity lasts • What is reasonable to consider as 'long-term' when referring to 'long-term economic prospects'? • How the budget deficit is achieved • Whether the improvement in long-term prospects fully compensates for short-term problems arising from the reductions in the deficit • Does the alternative 'Keynesian solution' really hold water under scrutiny? • Are international credit ratings really that significant? • Long-term prospects may improve on one measure, eg inflation, but suffer on another measure, eg growth • The possible self-defeating nature of deficit reduction, ie efforts to reduce a deficit can bring about an increase as the economy worsens *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*
Also give credit for:	• Reference to the UK/other economies • Diagrams • An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

11.

Introduction	• Reference to the history of the EU • The history of UK membership of the EU • Changing views about membership over time • The nature of the EU, for example, as a customs union/single market • The possible criteria for making a decision.
Developing the response to the question (Application)	• The estimated total cost to UK of membership **Extract E**(lines 4 & 5) • UK Budget contributions **Extract E** (line 6) • The Single European Market **Extract E** (lines 14 & 15) • Foreign direct investment **Extract E** lines (15 & 16) • The EEA **Extract F** (lines 3−5) • The example of Norway as a non-member of the EU **Extract F** • Trade theory • AD • Economic growth
Analysis	• The notion of economic benefit • Economic growth • Employment • Balance of Payments • Exchange rate • Prices • CAP • SEM • CET • The euro • The EEA.
Evaluation	• The uncertainty surrounding the future outside the EU • Whether a comparison with just one other economy (Norway) is helpful • To what extent, if at all, would trade be affected? • Could the UK re-establish former economic links, for example, with the Commonwealth or is this a myth from non-existent halcyon days? • The difficulty of assessing in a truly objective and precise way the various costs and benefits • The possible UK support for membership to foster and maintain economic ties with the EU in contrast to strong opposition to political ties and loss of national sovereignty • The possible changing views about membership as enlargement of the EU continues • Support for membership increasingly tempered by a fear that the UK will become embroiled in the euro crisis financially when the UK is outside the Eurozone • 'Sitting on the fence' has limitations; should the UK fully embrace all aspects of the EU and become 'full Europeans' including adoption of the euro? • The possibility of the UK joining the EEA or even NAFTA instead. *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*

Also give credit for:	• Reference to the UK/other economies • Diagrams • An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

12.

Relevant issues/logical chains of analysis include:

- defining exports and/or the multiplier
- explanation of the link between the multiplier and AD/use of an arithmetical example
- explaining export-led multiplier, eg the impact of a growing export sector on other sectors of the economy, for example, as those employed in the export sector spend their incomes on goods and services; those businesses in the export sector demanding machinery and technology from other businesses outside the export sector
- use of relevant diagrams, eg AD/AS
- An improvement in the macroeconomy of the EU to which over half of UK exports are sold. Fiscal policy may loosen in the EU, so that consumers' disposable incomes rise and hence their demand for UK goods and services. Equally, unemployment may fall in the EU allowing average incomes to rise and hence consumer demand for UK exports
- UK productivity increases lowering unit costs
- UK/EU relative inflation rates are favourable to the UK
- Quality of UK goods and services
- The exchange rate of the £ against other currencies
- Changing comparative advantage favouring the UK
- appropriate diagrams, eg AD/AS, comparative advantage

[9]

14.

Introduction	• Definition of inflation • Global experiences of inflation • UK inflation and the scenario of 'worsening inflation' • The balance of payments and its various parts.
Developing the response to the question (application)	• Low inflation for achieving economic stability and sustained growth **Extract B** (lines 2–3) • Reference to energy costs and primary commodity prices **Extract B** (lines 12 & 13) • The brake on hesitant recovery **Extract B** (lines 21 & 22) • The dangers of loose monetary policy in the UK **Extract C** (lines 7–11) • The breeding of 'uncertainty' **Extract C** (line 11) • Disruption to trade and investment flows (**Extract B** lines 19 & 20) • Cost-push inflation • Demand-pull inflation • AD/AS analysis • Balance of payments • Competitiveness.
Analysis	• The notion of 'impact' • Measurement of impact in the context of the balance of payments • World commodity prices increases and the UK import bill • UK competitiveness given the authorities' success or failure in controlling inflation • The impact of imported inflation on future balance of payments' performance • Inflation, the UK exchange rate and the balance of payments • The impact of global inflation on the macroeconomy of other countries and how this will inevitably impact on the UK's balance of payments • Investment flows and the capital account.
Evaluation	• Is the problem in almost every part of the global economy and what, therefore, is the relevance of this to the UK balance of payments? • Is the problem one experienced by the UK's major trading partners? • 'Increasing inflation' but is the deterioration still from low initial levels of inflation? • UK inflation compared to inflation amongst our trading partners • A worsening, but still mild, inflation as a stimulant to the world of business, to investment, and the impact on the capital account • An inflation scenario which still compares favourably to the prospect of deflation for the balance of payment • The severity of any anti-inflation policies pursued by other governments which may impact on global demand for UK goods and services • The impact on the current account of success or failure in UK authorities' attempts to deal with any national problem of inflation. *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*

Also give credit for:	• Reference to the UK/other economies • Diagrams • An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

16.

Introduction	• Saving ratio • Macroeconomic performance.
Developing the response to the question: **Application / Analysis**	• Increased consumption benefiting standards of living • Increased short-run economic growth • Positive multiplier arguments • Increased deficits on the balance of payments on current account • Increased problems of personal debt • Demand pull inflationary pressures caused by too much consumption • Over-reliance on credit • Lack of funds in financial institutions for lending and investment • Lack of funds for long-run growth • Effects on confidence • Paradox of thrift arguments (not in specification) • Effects on employment.
Evaluation	• Is the saving ratio important in an economy or is it a by-product of economic conditions? • Has increased economic integration and international finance diminished the importance of the savings ratio? • Savings creating the condition for investment in the long run • Low savings and the effects of future policy changes • Changes in the saving ratio as an effect of having a strong economy rather than the cause of a problem. *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*
Also give credit for	• Reference to the UK/other economies • Diagrams • An overall judgement on the issues raised.

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17.

For defining/explaining • Saving ratio/saving • Marginal/average propensity to save/consume • Trade deficit • Income/disposable income.

For example: During periods of economic prosperity, employment is likely to rise which leads to increased disposable incomes as individuals have more income, consumption increases this often causes a rise in house prices which creates the so called wealth effect and increases consumption even further as individuals now have increased equity in their homes this means that individuals can access more finance due to increased security which leads to an increased marginal propensity to consume as individuals become less risk averse and as a result a falling marginal propensity to save and as such the savings ratio falls. **Other examples could include**: The rate of interest, the demographics of the population, time preference, government legislation or consideration of inflation and the real rates of return of saving.
Use of diagrams to help support explanations, eg AD/AS or the trade cycle.
Reference to the UK and/or other economies.

[15]

18.

Introduction	• The nature of public sector debt • The relationship between deficits and debt • The EU and fiscal rules.
Developing the response to the question: **Application**	Drawing on the information in the extracts: • Eurozone recovery slowing **(Extract B)** • Taxation affecting investment **(Extract B)** • Ireland creating conditions to increase lending **(Extract C)** • Crowding out **(Extract C)** • High levels of public debt **(Extract C)** • Significant trade partners **(Extract C)**
Developing the response to the question: **Analysis**	Arguments as to how reduced public sector debt in other economies may effect UK: • methods of reducing public sector debt • equity and different income groups • impact on UK exports/FDI • impact on UK growth (short-run and long-run) • impact on the balance of payments on both current and capital accounts. • impact on employment/unemployment • impact on inflation. • impact on investment and confidence • impact on ratings agencies and bond yields • crowding in/crowding out arguments • standards of living • Keynesian multiplier Consideration of how reduced public sector debt domestically is also worthy of credit.
Evaluation	• How 'impact' is measured and the importance of various macroeconomic performance indicators • The differences between the relationships with each nation ie countries which provide us with net exports possibly having a bigger impact • Consideration of 'at the same time' as being with each other or with the UK • The rate at which debts are being reduced • Consideration of whether Government debt is in fact a problem • Consideration of FDI and how this might be affected

	• Will the private sector actually have more freedom to invest both domestically and abroad with reduced Government intervention • Whether debt reduction causes crowding in or crowding out and the effects on AD. *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*
Also give credit for	• Reference to the UK/other economies • Diagrams • An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

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19.

Introduction	• Deflation • The EU • Macroeconomic performance indicators.
Developing the response to the question: **Application**	Drawing on information in the extracts: • Central banks' ability to respond **(Extract E)** • Eurozone 'one size fits all' vs UK's and others ability to respond **Extract E** • Delaying spending (**Extract F**) • Effects on debtors (**Extract F**) • Effects on tax revenue (**Extract F**) • Reduced production costs/productivity (**Extract F**) • Improving competitiveness (**Extract F**) • Deterring investment (**Extract F**)
Developing the response to the question: **Analysis**	**Arguments as to how deflation in the EU may benefit the UK economy:** • Effects on competitiveness if UK also experiences deflation • Benign inflation due to improved productivity helping growth and maintaining low prices • Long run, sustainable economic growth achieving deflation • UK's low stable inflation causing stability in comparison to deflation • Deflation in other economies may make UK a relative safe haven for firms from abroad considering FDIMicroeconomic effects such as benefits to first time buyers of possible falling house prices. **Consideration of how deflation in the EU may damage the UK economy:** • If EU experiences deflation and UK doesn't then UK may become less competitive in relative terms • EU deflation delaying spending and causing a fall in UK exports • Lack of FDI across the EU due to uncertainty • Damaging tax revenues in the UK which may reduce ability of UK Government to meet targets • Possibility that QE and other policy responses by the ECB and European economies as a result of deflation may give boosts to these economies. • Microeconomic effects such as falling house prices causing negative equity.
Evaluation	• The UK as part of the EU possibly suffering deflation • The duration of deflation having a major impact

	• The cause of deflation being vital to understanding the effects • Benign vs malign arguments • The UK's ability to avoid deflation in comparison to other economies • The relative difficulty of combatting inflation when the causes are external in a globalised economy. *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*
Also give credit for	• Reference to the UK/other economies • Relevant diagrams • An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

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20.

Explanation:

For defining/explaining • Unemployment • Voluntary unemployment, eg structural or frictional • Linking the natural rate to the concept of equilibrium • Linking to NAIRU (a different concept but closely linked).

For example: Due to individuals having trained in specific areas they are made redundant and jobs that are currently available do not match their skill set then they may choose to remain unemployed as the wages that they could gain from taking a different job are significantly lower than what their expectations of a wage are which may further be exacerbated by the tax and benefits system where individuals may fall into the unemployment trap as it would mean that gaining employment may be less financially viable than remaining unemployed as the effects of a loss in benefits such as housing benefit would lead to the individual being worse off than in employment. **Other examples could include**: Issues such as the tax/benefit system, structural changes in the economy, geographical/occupational immobility or trade union power.
Use of diagrams to help support explanations, eg long-run Phillips curve or supply and demand of labour.
Reference to the UK and/or other economies.

[15]

22.

Introduction	• The nature of EU single market • Origins of the EU • How 'beneficial' may be measured in terms of macroeconomic performance.
Developing the response to the question: **Application**	**Drawing on the information in the extracts:** • Electoral success **(Extract B)** • Lower taxes creating growth **Extract B** • Balancing budget helped by growth (**Extract B**) • Reduced size of the state (**Extract B**) • What goods and services the state provides (**Extract C**) • Health, education and welfare in terms of living standards (**Extract C**) • Benefiting certain income groups (**Extract C**) • The effect of shifting from direct to indirect taxation (**Extract C**)
Developing the response to the question: **Analysis**	**Arguments why direct tax cuts may be beneficial for growth and living standards:** • Increased consumption possibilities • Increased AD as a result of increased consumption and short-run economic growth • Possible increase in firms profits and its role in stimulating investment • Individuals are able to spend more on what they wish, improving welfare • Reduced tax rates leading to more tax revenue (Laffer curve arguments) • Links between economic growth and living standards • Reducing crowding out • Possible multiplier effects. **Arguments why direct tax cuts may be damaging for growth and living standards:** • Possibly leading to reduced state intervention • Reduction in provision of both public and merit goods • Possible increased inequality • Rich having a larger marginal propensity to save, therefore not spending as much, reducing the circular flow • Possible negative multiplier effects • Lack of crowding in • Costs of economic growth in terms of living standards (eg pollution).

Evaluation	• Short-run vs long run considerations • Are growth and living standards always necessarily directly linked? • How can living standards be judged and what factors need to be considered in their measurement? (This could include HDI or other suitable measurements). • The role of the state and the effects of merit and public goods on living standards • Differences between New Zealand's and UK's experiences, eg New Zealand linked to fast growing Asia-Pacific region. • The idea that living standards and growth encompass a wide range of factors beyond that which domestic governments have control. *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*
Also give credit for	• Reference to the UK/other economies • Relevant diagrams • An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not discussed above

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24.

Introduction	• Economic growth • Living standards/the quality of life • Measurements of living standards.
Developing the response to the question: **Application / Analysis**	• Measuring economic growth • Correlations between growing real GDP per capita and living standards • The change in real GDP per capita as a monetary indicator and the suitability of this for use in judging living standards • Long-run and short−run growth considerations • Inaccuracy and variability in growth rates • HDI/Legatum prosperity index/Misery index/Happy planet index or any other measurement of living standards • Regional differences within countries • Possibilities of increased consumption possibilities • Provision of merit goods/public goods • Pollution and the environment • Inequality issues within countries.
Evaluation	• The sustainability of the growth and consideration of how fast economies are growing • Discussion of the prioritisation of the various factors which make up living standards • Consideration of trade−offs involved in growth • The ability of individuals to move between countries in pursuit of better living standards • Consideration of different economies experiences • Differences between different economic perspectives on welfare provision between different countries and over time • Considering that the judgement of standards of living is highly subjective and different individuals have different opinions on living standards • Exogenous factors beyond the control of the country may impact on living standards for example global warming. *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*
Also give credit for	• Reference to the UK/other economies • Diagrams • An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

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25.

For defining/explaining: • Economic growth (short-run or long-run) • Recession • The trade cycle

For Example: An external shock such as the banking crisis which began in 2007 reduced the ability of the financial sector to lend which caused individuals difficulty in gaining credit and therefore causing consumption to fall as consumption is a large component of aggregate demand as AD falls the real national output of the economy falls which could cause a negative multiplier effect and, if real national output falls for 2 successive quarters this is a recession.
Use of diagrams to help support explanations, eg AD/AS or the trade cycle.
Relevant real world examples and/or relevant reference to the UK and/or other economies.

[15]

26.

Introduction	• Inflation and the types of inflation • The role of the Bank of England • Explanation of the target rate of inflation.
Developing the response to the question: **Application / Analysis**	• Why the UK has inflation targets • The importance of the other macroeconomic goals • How the independent Bank of England has control of the tools to control inflation • The importance of low inflation greasing the wheels of the economy. • Limitations to the use of policy tools • The importance of inflationary expectations • The effects of deflation • Trade-offs in macroeconomic goals • How inflation can affect growth • How inflation can affect the Balance of payments • How inflation can affect unemployment or vice versa • How focusing on other goals may impact on inflation • How the prioritisation may change • How other policies affect inflation • The role of supply side policy in controlling inflation • Short-run vs long-run considerations.
Evaluation	• Whether control of inflation depends on where the economy is operating in the trade cycle • Whether the UK has the ability to control cost push inflation to the same extent as demand pull • How ‘independent’ is the Bank of England in setting policy • Historical perspectives compared to current economic policies. • The prospects of inflation as opposed to deflation • The effects on the UK when the UK went outside of the target in the past • The relative importance of inflation compared to other goals • Is there an inevitable trade off with unemployment? • Short-run vs long-run considerations. *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*

Also give credit for	• Reference to the UK/other economies • Diagrams • An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

27.

Introduction	• The nature of EU single market • Origins of the EU • How 'beneficial' may be measured in terms of macroeconomic performance.
Developing the response to the question: **Application / Analysis**	• Current EU policies regarding freedom of movement of labour/capital/trade etc. • How more EU members may affect growth • How more EU members may affect inflation • How more EU members may affect the balance of payments • How more EU members may affect unemployment • Trade diversion/Trade creation. • Comparative advantage • Extended overseas markets and economies of scale • The impact on inward and outward FDI • The relative size of the economies of the possible entrants. • The effects on other EU members • The implications of immigration • The possibility that these countries may enter the Eurozone. • Short-run and long-run considerations • The UK's current macro-economic performance in context.
Evaluation	• The importance of which countries join and when? • The relative size of say the agricultural sector of the new markets may affect the UK's proportion of CAP • The 'net contributor' argument in terms of EU funding. • Scope for FDI (both inward and outward) • The relative importance of EU institutions to the UK. • The relative effects on each macroeconomic goal being dependant on the UK's position on the trade cycle • The importance of stability • Important current political considerations • Immigration depending on the net migration size • Economic and social impact of further integration. *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*

Also give credit for	• Reference to the UK/other economies • Diagrams • An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

30.

Explanation:

Definition: As there is no single definition for this, any suitable definitions can be credited: eg The ability of an economy to sell goods and services in or to other countries and linking to the theory comparative advantage or in terms of lower costs of production or price/non price competitiveness

Analysis:

For Example: A fall in corporation tax may reduce a firms costs therefore the firms expected profits may rise and improve confidence which may be a catalyst for investment which may increase spending on both human capital and physical capital which may lead to productivity advancements allowing firms to sell goods for cheaper on international markets.
Use of appropriate diagrams, eg AD/AS
Reference to the UK or other economies.

[9]